

Ciena Corporation

Business Development Dossier

Industry	Technology / Networking Equipment
Revenue	\$5.9B
Employees	9,000
Ideal Customer Profile Score	85

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name	Ciena Corporation
Headquarters	Hanover, Maryland
Founded	1992
Ownership	Public (NYSE: CIEN)
Footprint	Global - North America, EMEA, India (Gurugram), Asia-Pacific. Rejoined S&P 500 Feb 2026.

SECTION 1b

Company Overview

Ciena is a global networking systems and software company that provides optical and routing platforms for telecom carriers, data center operators, and enterprises. Headquartered in Hanover, Maryland, Ciena enables the world's largest networks to adapt to increasing bandwidth demand.

SECTION 2

Financial Health & Growth Stage

Understanding Ciena Corporation's financial position and trajectory is critical to framing any engagement conversation.

Revenue: FY2024 ~\$4.02B -> FY2025 \$4.77B (+19%) -> FY2026E \$5.9-6.3B (+24-32%). Q1 FY2026 \$1.43B (+33% YoY). Adj. EPS \$1.35 (+111%). Gross margins ~44.7%. Record backlog \$5-7B. Consensus Moderate Buy (8 buy, 6 hold). JP Morgan \$380; BofA \$355. Key pressures: Customer concentration (3 customers = 67% revenue), supply constraints, Blue Planet deteriorating, CEO succession overhang. Tailwinds: AI buildout, WaveLogic 6 leadership, hyperscaler wins.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Gary B. Smith - President & CEO [PRIORITY TARGET]

UK-born. NSTAC member 2011-2023 (Obama appointee). Telecom career (CASE, Cray, Intelsat).

Outreach rationale: 25-year CEO navigating most significant pivot in Ciena's history. NSTAC service creates direct alignment with McChrystal's national security DNA.

Marc D. Graff - SVP & CFO [PRIORITY TARGET]

28 years at Intel (CFO/COO Datacenter & AI Group). CFO at Altera (Intel spin-out).

Outreach rationale: Outsider CFO with AI/data center expertise. Fresh eyes + mandate to scale for \$6B+ run rate.

Additional leadership team members relevant to the engagement:

David M. Rothenstein - SVP & Chief Strategy Officer

Former GC (2008-2023). JD George Washington. Lawyer-turned-strategist.

Sheela Kosaraju - SVP, General Counsel & Interim Chief People Officer

JD Wake Forest; BS Mech. Eng. Carnegie Mellon. Dual-hatting as interim CPO.

Lawton W. Fitt - Independent Board Chair

Former Goldman Sachs partner. Board of Carlyle Group and Progressive Corp.

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Ciena Corporation operates today and where friction exists.

Organizational Structure

Historically hierarchical engineering culture. Recent management flattening - removing layers.

Culture Signals

Glassdoor 4.0/5.0 (2,226 reviews); 78% recommend. Positives: ethical culture, strong onboarding, flat team structures. Negatives: 'products company with services culture' identity confusion; manager training gaps; geographic disconnection; 'challenge to figure out who owns what'; reports of mass resignation in certain teams. No permanent CHRO during significant transformation - GC serving as interim CPO.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Ciena Corporation.

1. 2026-03-04 - Q1 FY2026 record revenue \$1.43B (+33% YoY); raised guidance to \$5.9-6.3B

Hypergrowth strains organization - scaling 25-33% annually when culture/alignment typically break down.

2. 2025-10-01 - Strategic pivot: exited residential broadband/PON, doubled down on AI infrastructure

Reorientation requires new capabilities, talent reallocation, cultural buy-in.

3. 2025-08-01 - CFO transition: Moylan retired after 16 years; Graff (ex-Intel) joined

C-suite turnover + outsider CFO = window for organizational reassessment.

4. 2025-09-01 - 5% workforce reduction (~420 people); management flattening

Restructuring without permanent CHRO is high-risk. Layoffs + growth = whiplash.

5. 2024-12-01 - Lawton Fitt appointed first independent Board Chair

Governance maturation - board preparing for post-Smith era.

6. 2025-06-01 - Acquired Nubis Communications (\$270M) for 'inside the data center' strategy

M&A integration: absorbing startup into 9,000-person company.

7. 2025-12-01 - Webscale customers surpassed 54% of revenue

Customer base transformation from diversified telecom to concentrated hyperscaler.

SECTION 6

McChrystal Fit Assessment

Hits nearly every ICP signal. Revenue in sweet spot. CEO's NSTAC service creates natural affinity. No permanent CHRO = structural opening.

Primary Problem

30-year-old company undergoing simultaneous hypergrowth (25-33%) and strategic transformation (telecom to AI) under a 25-year CEO with no succession plan, operating without a permanent CHRO.

Best McChrystal Capability Fit

Team of Teams - pivot from telecom to hyperscaler requires fundamentally different cross-functional alignment. Also: org design (flattening without communication architecture), leadership development (manager gaps, new CFO, CEO succession).

Likely Objections to Engagement

Revenue up 33% - why do we need help?

We're a tech company, not military

Cost sensitivity during heavy investment

Competitive Advisory Landscape

McKinsey/BCG - strategy but lack leadership depth

Korn Ferry - assessment but lack operating model capability

Deloitte/Accenture - org design but process-heavy

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. Gary, you're growing at 33% while flattening the org and pivoting your customer base. How are you ensuring teams closest to hyperscaler customers have the decision-making authority and information flow they need?

2. As Ciena shifts from telecom's optical backbone to the 'nervous system of AI,' how is the organizational

culture keeping pace? Are the same leadership capabilities that built a \$5B company the ones that will build a \$10B one?

3. With a new independent Chair, new CFO, and a 25-year CEO, how is the board thinking about leadership development at the next level?

Direct at Board Chair Fitt or CFO Graff

Recommended Meeting Framing

Frame around the growth challenge, not 'you need transformation.' Gary Smith's NSTAC service (2011-2023) is the strongest door-opener - shared national security telecommunications service gives General McChrystal a natural, non-salesy reason to reach out.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Ciena Corporation's market positioning to potential McChrystal engagement opportunities.

Brand Value & Competitive Standing: Ciena is the #1 market share leader in optical networking equipment, competing against Huawei (geopolitically constrained in Western markets), Nokia, and Infinera. The brand carries strong engineering credibility - recognized as the technology leader in coherent optics and programmable networking. However, Ciena's brand is rooted in telecom infrastructure, and the pivot to AI/data center networking requires repositioning to a new buyer persona.

Brand Identity Evolution: Ciena is transitioning from "telecom optical networking company" to "AI infrastructure platform." This repositioning is critical - the company's explosive 28% growth is driven by hyperscaler data center demand (Meta, Microsoft, Google), not traditional telco customers. The brand must evolve to reflect this shift without alienating the telco base that still generates significant revenue.

Marketing Leadership & Strategy: [INFERRED] Ciena's marketing has historically been B2B/engineering-focused, targeting network architects and CTOs at telecom carriers. The shift to hyperscaler customers requires different marketing - less technical specification, more platform vision. The CMO function needs to bridge two distinct buyer personas.

Brand Threats: Huawei's exclusion from Western markets is a tailwind, but Nokia and Infinera are investing heavily to close the technology gap. If Ciena's organizational complexity (scaling + transformation) slows product innovation, competitors could erode the technology leadership that defines the brand.

Major Brand Investments: Ciena's WaveLogic coherent optics platform is the brand's flagship technology - each generation reinforces market leadership. The pivot to "Adaptive IP" and software-defined networking represents a brand extension into adjacent markets.

McChrystal Connection: Ciena's brand promise of "network innovation leadership" depends on an organization that can simultaneously serve two distinct customer segments (telco and hyperscaler) with different buying cycles,

technical requirements, and relationship models. This dual-market coordination challenge - delivering innovation to both segments without organizational friction slowing either - is where McChrystal's cross-functional alignment creates value.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Ciena Corporation. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Dual-Market Organizational Coordination

Ciena simultaneously serves traditional telecom carriers (long sales cycles, relationship-driven, specs-focused) and hyperscaler data centers (rapid procurement, platform-driven, scale-focused). These markets require different sales motions, engineering priorities, and support models. McKinsey can design the dual-market strategy; McChrystal builds the operating model that prevents the two from competing for the same engineering and manufacturing resources.

Fit Dimension 2: Hypergrowth Without Succession Planning

CEO Gary Smith has led Ciena for 25 years with no disclosed succession plan. The company is growing 28% - creating organizational dependency on a single leader at the worst possible time. McChrystal's shared consciousness model distributes decision-making authority, reducing single-point-of-failure risk in leadership.

Fit Dimension 3: Manufacturing and Supply Chain Scaling

28% revenue growth requires manufacturing capacity that didn't exist 18 months ago. Cross-functional coordination between R&D (new product designs), manufacturing (capacity expansion), procurement (component sourcing), and customer delivery (installation timelines) is the binding constraint. McChrystal's operating rhythm ensures these functions coordinate rather than bottleneck each other.

9b. Cumulative Case - Why Ciena Is a Top Pipeline Opportunity

Ciena sits at the intersection of AI infrastructure demand and organizational scaling stress. Signal chain: AI demand explosion -> 28% revenue growth -> manufacturing capacity constraints -> dual-market complexity (telco + hyperscaler) -> 25-year CEO with no succession -> organizational systems straining at new scale. Revenue potential: \$400K initial (operating model assessment for dual-market coordination), \$1M-\$1.5M deployment, \$300K ongoing. Total: \$1.5M-\$2.5M over 18 months.

9c. Enterprise Issues & Organizational Challenges

1. Dual-Market Resource Conflict: Hyperscaler customers demand rapid, high-volume delivery; telco customers demand customization and long-term relationship management. Engineering, manufacturing, and support teams are pulled in both directions.
2. CEO Dependency and Succession Gap: Gary Smith's 25-year tenure means institutional knowledge, customer

relationships, and strategic vision are concentrated in one person. No visible succession plan creates organizational risk during the most complex growth phase in company history.

3. Manufacturing Scaling Under Demand Pressure: Optical networking equipment requires specialized manufacturing. Scaling capacity 28% while maintaining quality and delivery timelines requires cross-functional coordination that informal processes can't sustain.

4. Technology Pivot Execution: Moving from hardware-centric (optical transceivers) to platform-centric (Adaptive IP, software-defined networking) requires different organizational capabilities - software engineering, platform sales, recurring revenue models - that the traditional hardware organization may resist.

5. Talent Acquisition in Competitive AI Market: AI infrastructure companies compete for the same engineers and product managers. Ciena must attract AI-adjacent talent while retaining core optical networking expertise.

6. Customer Concentration Risk: Hyperscaler growth concentrates revenue among 3-5 mega-customers. Organizational processes must adapt to serve customers that can represent \$500M+ in annual spend.

9d. Expected Outcomes from McChrystal Group Engagement

1. Dual-Market Operating Model: Coordination architecture that serves telco and hyperscaler customers without resource conflict. Measurable: reduce cross-market resource allocation disputes by 60%.

2. Succession Readiness Framework: Distributed decision-making model that reduces CEO dependency. Measurable: critical decisions that currently require CEO approval reduced by 40%.

3. Manufacturing-to-Delivery Coordination: Cross-functional operating rhythm connecting R&D, manufacturing, procurement, and delivery. Measurable: on-time delivery rate improvement of 15%+.

4. Growth Absorption Capacity: Organizational systems that scale with revenue growth. Measurable: employee productivity metrics maintained within 5% during 25%+ growth.

5. Platform Pivot Alignment: Cross-functional alignment between hardware and software teams for Adaptive IP platform. Measurable: platform revenue targets on-track within first 12 months.

9e. Key Stakeholders & Business Unit Map

Office of CEO

Leader: Gary B. Smith, CEO

Function: Enterprise strategy, customer relationships

McChrystal Relevance: Executive sponsor; 25-year tenure

Finance

Leader: Marc D. Graff, SVP & CFO

Function: Capital allocation, growth investment

McChrystal Relevance: Budget gatekeeper

Strategy

Leader: David M. Rothenstein, SVP & CSO

Function: Strategic pivot to AI infrastructure

McChrystal Relevance: Platform transformation leadership

Legal / People

Leader: Sheela Kosaraju, SVP & Interim CPO

Function: Talent, organizational design

McChrystal Relevance: Priority: Dual-market org design, succession planning

Board

Leader: Lawton W. Fitt, Independent Chair

Function: Governance, succession oversight

McChrystal Relevance: Board-level introduction vector

Hyperscaler Sales

Leader: [VP/SVP]

Function: Meta, Microsoft, Google relationships

McChrystal Relevance: Priority: Fastest-growing segment

Telco Sales

Leader: [VP/SVP]

Function: AT&T, Verizon, global carriers

McChrystal Relevance: Revenue base preservation

9f. Opportunity Thesis

Strategic Signal Convergence - Why Now: AI demand explosion -> 28% growth -> dual-market complexity -> manufacturing constraints -> CEO succession gap -> organizational systems straining. The convergence creates a 12-18 month window where organizational coordination becomes the binding constraint on value creation.

The Structural Paradox - Why McChrystal, Not McKinsey: McKinsey advises on AI infrastructure strategy. Deloitte scales IT systems. But neither builds the operating model for a dual-market organization where hyperscaler speed and telco relationship depth must coexist. McChrystal connects the two operating rhythms without forcing one to slow down for the other.

Phased Engagement Hypothesis - Land and Expand:

- Phase 1 (Months 1-3, \$350K-\$450K): Dual-market operating model assessment - map coordination gaps between hyperscaler and telco teams; design operating rhythm that serves both. Beachhead: hyperscaler delivery coordination (highest growth, most urgency).
- Phase 2 (Months 4-9, \$700K-\$1M): Enterprise deployment including manufacturing coordination, succession readiness, and platform pivot alignment.
- Phase 3 (Months 10-18, \$300K-\$400K retainer): Ongoing growth management and succession transition support.

Competitive Displacement Strategy: Position as the firm that makes the dual-market strategy actually execute. Frame: "The AI pivot strategy is clear. McChrystal ensures the organization can serve hyperscalers at speed without breaking the telco relationships that fund the transformation."

Multi-Threaded Pursuit Map:

- Thread 1: David Rothenstein (CSO) - strategic pivot to AI. Angle: "How is the organization adapting to serve hyperscaler customers at the speed they demand?"
- Thread 2: Sheela Kosaraju (Interim CPO) - organizational design. Angle: "How are you designing the organization to support 28% growth with two fundamentally different customer segments?"

- Thread 3: Gary Smith (CEO) via board connection - succession and organizational resilience. Angle: "After 25 years of leadership, how is the organization building the distributed decision-making capability that sustains performance through any transition?"
- Warm Introduction Vectors: Technology industry networking events; defense/government connections (Ciena serves DoD); optical networking industry conferences (OFC).